

Instant Payment Programme

Subject: IPS SCHEME RULES

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1. Document History

Version	Date	Amendments	Authority
V.0.1	13 June	First draft of the Rules	Instant Payments Namibia
V.0.2	14 July 2025	- Incorporated Industry Input - Clarification of blacklist, and hotlist inserted.	Instant Payments Namibia
V.0.3	21 October 2025	Incorporated Industry Input	Instant Payments Namibia

2. Related Documents

Title	Abbreviation
Payment System Management Act 14 of 2023	PSM Act
IPP Functional Specification Document (FSD) V.8.0	IPP FSD
IPP Technical Specification Document (TSD) V.0.5	IPP TSD
Bank of Namibia Open Banking Position Paper	BON OB
Bank of Namibia Quick Response Code Guidance Note	BON QR Code
Bank of Namibia Solution Design Document Version 0.2	SDD
Determination for the Authorisation of Payment System Operators and System Participants in the National Payment System	PSD-6
Determination on Card Interchange and ATM Surcharging	PSD-11
Determination on the Issuance of Electronic Money in Namibia	PSD-3

3. Purpose of the Scheme Rules

- 3.1.** This document outlines the Scheme Rules for the Instant Payment Solution (IPS) of Namibia that is being operationalised by the entity Instant Payments Namibia (IPN). These Scheme Rules are issued to define the legal and regulatory framework under which the Scheme will operate, to determine the management of its participants, to provide compliance and risk management guidelines, and to establish operational parameters for participation, including fees & charges, among others.
- 3.2.** These Scheme Rules are issued pursuant to Section 12 of the Payment System Management Act, 2023 (Act No. 14 of 2023) (hereinafter referred to as “PSM Act”), which mandates a payment system operator to have rules that govern the payment system. In this regard, these Scheme Rules, together with the IPS Product Rules and IPS Operator Service Level Agreement (SLA), establish the regulatory, operational, and technological framework that governs the IPS ecosystem.
- 3.3.** The IPS is a national, interoperable payment infrastructure established by the Bank of Namibia (BoN) and operationalised through IPN, in close collaboration with licensed industry participants. The IPS enables instant, 24/7/365 electronic payments, supporting seamless fund transfers between bank accounts, e-money wallets, and other approved store-of-value instruments. By enabling real-time low-value retail payments, the IPS contributes to broader national objectives of financial inclusion, digital transformation, and the development of safe and efficient payment systems, particularly for underserved communities in rural and informal sectors.

4. Scope of Application

4.1. These Rules apply to all entities authorised to participate in the IPS ecosystem, including:

- a) Licensed Banking Institutions as defined in the Banking Institutions Act, 2023 (Act No. 13 of 2023) (or the “BIA”),
- b) Licensed Non-Bank Financial Institutions (NBFIs) licensed to provide payment services under PSD-1,
- c) Prospective and authorised System Participants of the IPS in terms of the Act and PSD-6.
- d) Any other third-party vendors that are critical to the operations of the IPN.

5. Definitions and Interpretations

5.1. Unless otherwise stated, terms used in this document shall bear the same meaning as those defined in the Payment System Management Act, 2023 and the relevant Determinations (e.g., PSD-6, PSD-1). For clarity, the following key terms are defined:

Term	Description
Act (or PSM Act)	Refers to the Payment System Management Act, 2023 (Act No. 14 of 2023), which governs all aspects of payment systems and operations in Namibia.
Blacklisting	The long-term exclusion of a User, Handle or Device from the IPS for confirmed fraudulent, malicious or prohibited activity, subject to regulatory or Operator review and revocation procedures.
Handle	Any alias, mobile number, virtual identifier, or credential used to access or receive IPS services.
Hot listing	The temporary suspension or heightened monitoring of a User, Handle or Device suspected of suspicious activity, applied as a precautionary measure pending investigation.

Instant Payment	An electronic retail payment capable of being initiated, cleared, and settled in real time or near real time, and available to the payee immediately or within seconds of payment initiation, 24/7/365.
IPS Operator	Instant Payments Namibia (IPN) authorised by the Bank of Namibia to operate the Instant Payment Solution and implement these Scheme rules.
IPN Switch (or Switch)	The centralised transaction processing platform operated by the IPS Operator for the routing, clearing, and validation of instant payment transactions.
On-us	An instant payment transaction involving a payer and a payee from the same participant on the IPS.
Off-us	An instant payment transaction involving a payer and a payee from different participants on the IPS.
Participant	Any banking institution, NBF, PF, or TPPP authorised under these Rules to access and transact within the IPS.
Sponsoring Participant	A licensed direct participant in the IPS who provides access to the system and settlement infrastructure on behalf of indirect participants
Store of Value (SoV)	A payment account (bank or e-money wallet) capable of holding value for a customer and used for transactions
Scheme Rules	This binding set of operational, legal, technical, and compliance guidelines issued by the IPS Operator under the regulatory oversight of the Bank of Namibia.
NISS (RTGS)	The Namibia Interbank Settlement System which is Namibia's Real Time Gross Settlement System.

5.2. Should there be any discrepancies or ambiguities in interpreting these Rules and the PSM Act and any of its subordinate regulations, the provisions of the PSM Act and the regulations will take precedence.

6. Governance and Jurisdiction

- 6.1. The IPS is operated by Instant Payments Namibia (IPN), a subsidiary of the Bank of Namibia established to operationalise instant payment services. IPN is governed by the IPN Board which reports to the Bank of Namibia. From an executive management perspective, the IPN is led by a Chief Operating Officer, supported by three heads (Operations, IT, and Product & Ecosystem Activation), and a supporting staff.
- 6.2. The IPS operates within the jurisdiction of the Republic of Namibia and is subject to the laws and regulatory requirements applicable within the national payment system. Participation in the IPS is therefore restricted to entities that are duly licensed or authorised to operate within Namibia in accordance with the PSM Act, and any relevant regulatory instruments issued by the Bank of Namibia.
- 6.3. IPN, as the IPS Operator, licensed and authorised to operate a payment system in Namibia, shall be responsible for the day-to-day administration and enforcement of the IPS Scheme Rules. This includes monitoring participant compliance, administering access controls, implementing technical upgrades, and ensuring adherence to system standards. The Operator shall further be mandated to oversee dispute resolution mechanisms, fraud prevention protocols, and systemic risk mitigation efforts, thereby ensuring the long-term integrity, security, and sustainability of the IPS within the Namibian jurisdiction. Nothing precludes the IPS Operator from contracting with any other licensed payment system operator in executing its functions as an Operator.

7. Applicable Legal and Regulatory Framework

7.1. The IPS is governed under the following legal instruments:

- a) The Payment System Management Act, 2023, provides the enabling legal framework for the authorisation of payment system operators and the rules governing payment systems in Namibia.
- b) PSD-6 (Determination for the Authorisation of Payment System Operators and System Participants), which outlines eligibility and compliance requirements for payment system operators and their system participants.
- c) PSD-1, governing licensing requirements for payment service providers and e-money issuers.
- d) Additional compliance obligations under the Financial Intelligence Act (2012, as amended), the Competition Act (2003, as amended), the Data Protection Guidelines, and the Consumer Protection Framework are applicable to all payment service providers.

7.2. Instant Payment Solution Participants (IPSPs) are required to comply not only with these Scheme Rules but also with any directives, circulars, or technical standards issued by the IPS Operator or the Bank of Namibia from time to time.

8. Participant Management

8.1. Introduction

This section provides a framework for participation management, including onboarding, participation types, ongoing participation, the rights and duties of all participants, as well as the processes for suspension and termination.

8.2. Type of Participants

8.2.1. The Instant Payment Solution (IPS) enables a multi-tiered participation model designed to promote interoperability, innovation, and inclusive access across a wide range of financial institutions and service providers. Participation in the IPS is open to a range of licensed entities within the Namibian payment ecosystem. For the purposes of the IPS Scheme Rules, participants are categorised into two broad institutional classes as follows:

- a) Store of Value Providers (SoV)
- b) Instant Payment Service Providers (IPSP)

8.2.2. Store of Value (SoV) Providers

There are two types of SoV providers, namely banking institutions and non-banking financial institutions licensed to issue payment instruments. These are participants authorised to hold customer funds and provide accounts or wallets into which IPS transactions are credited or debited. SoV Providers are responsible for:

- a) Opening and maintaining customer accounts or e-wallets,
- b) Receiving and processing debit or credit instructions initiated via the IPS switch,
- c) Confirming the outcome of such instructions in real-time.

Only Banks and licensed PIIs may serve as Store of Value Providers within the IPS framework. The IPS distinguishes between participants based on functional roles within the system, which determine the extent of their engagement with the IPS infrastructure.

8.2.3. Instant Payment System Participants (IPSPs)

These are entities directly connected to the IPS switch, capable of initiating and/or receiving payment instructions on behalf of their own customers, enabling store-of-value providers, or providing IPS services. IPSPs must:

- a) Fulfil all technical onboarding requirements and certification processes,
- b) Ensure adherence to IPS messaging formats, service level agreements (SLAs), and uptime requirements,
- c) Be either a Bank or a licensed PII with the operational and technical capability to participate in real-time payments.

A single entity may serve as both an IPSP and a SoV Provider, provided it meets the technical requirements of both roles.

8.3. Settlement System Participants

8.3.1. IPS transactions will settle in the NISS, where SoV Providers are required to have dedicated settlement accounts to settle interbank obligations that arise from the IPS in real-time.

8.3.2. Both direct participation and tiered participation will be accommodated for IPS transactions. A direct system participant is required to have a settlement account with the Bank of Namibia to settle its obligations and those of system participants it intends to sponsor. A sponsored system participant is required to nominate a direct participant to settle obligations on its behalf in the NISS.

- 8.3.3.** IPSPs that intend to be direct or indirect participants in the RTGS should meet all technical, liquidity, and operational requirements prescribed by the RTGS (NISS) Operator.

8.4. Membership Application, Decision, and Appeal Process

8.4.1. *Eligibility for Authorisation*

- a) Only entities authorised by the IPS Operator may participate in the IPS.
- b) Only licensed banks and non-banks in terms of section 16.2 of PSD-6 may be authorised participants of the IPS by the IPS Operator.

8.4.2. *Application Requirements*

- a) In terms of sections 17 and 18 of PSD-6, any entity seeking authorisation to become a system participant in the IPS must first submit a formal letter of intent to the Bank of Namibia, addressed to the Director responsible for the National Payment System. This letter must clearly state the applicant's intention to engage the IPS Operator for system participation.
- b) The letter of intent of a non-bank payment service provider must be supported by a business plan detailing:
 - i. The nature and scope of the intended payment services to be offered through the IPS.
 - ii. System schematics and architecture, including transaction flows, functionalities, data processing, and security infrastructure.
 - iii. Any third-party or outsourcing arrangements relevant to service provision.
 - iv. A comprehensive risk assessment for the proposed services.
 - v. Consumer protection measures, including onboarding protocols, pricing structure, and redress mechanisms.

- vi. Information security controls and vulnerability management processes.
 - vii. A financial forecast covering the first three years of operations.
 - viii. Any additional information as may be requested by the Regulator.
- c) The Bank of Namibia will assess the submission and, if deemed satisfactory, may issue a letter of no objection, granting the applicant permission to engage the IPS Operator for authorisation.
- d) Upon receipt of the letter of no objection, the applicant may formally initiate engagement with the IPS Operator for authorisation in accordance with Section 19.1 of PSD-6.
- e) The IPS Operator, upon receipt of the letter of no objection, will enter into a Non-Disclosure Agreement (NDA) with the applicant. Thereafter, the IPS Operator will provide the applicant with access to the Functional Specification Document (FSD), Technical Specification Document (TSD) and any other relevant documentation required by the applicant to facilitate system integration and compliance readiness.

8.4.3. Application Process

- a) Any entity seeking to participate in the IPS must submit a formal membership application to the IPS Operator. The application process will be automated.
- b) The full application must include, at a minimum, the following:
 - i. Letter of no objection to engage the IPS Operator received from Bank of Namibia (The Regulator);
 - ii. A formal letter of application signed by an authorised official (e.g., CEO, CFO, or Compliance Officer);
 - iii. BIPA founding statements of the entity (non-banks only);

- iv. Banking license in terms of the BIA and/or Payment Service Provider License (Payment Instrument Issuer category) in terms of PSD-1;
 - v. Any other relevant license or authorisation;
 - vi. Nature of intended participation sought, i.e., SoV Provider or IPSP;
 - vii. Proposed settlement arrangement (direct or via sponsoring participant);
 - viii. In the case of a tiered participation arrangement, submit the SLA with the sponsoring participant;
 - ix. Corporate governance structure, including a list of directors and executive management (non-banks only);
 - x. Technical readiness and system integration capability, including interface specifications;
 - xi. Penetration test (from a reputable independent assessor) results of the infrastructure integrating with the IPS central switch;
 - xii. Business continuity, data protection, and cybersecurity measures; and
 - xiii. Any other information that the IPS Operator may request to finalise the assessment.
- c) The onboarding process involves reviewing the application, verifying compliance, conducting technical integration testing, and obtaining final approval from the IPS Operator. Participants must complete a due diligence assessment that evaluates their technical capability to provide IPS services and risk management procedures.
- d) Participation in the IPS testing and certification process includes:
- i. Integration with the sandbox (Simulator) environment;
 - ii. Live testing for transaction flows and reconciliation;
 - iii. Confirmation of settlement routing and messaging standards; and
 - iv. Certification.
- e) Formal admission into the IPS ecosystem upon successful completion of tests, signing of the participant agreement, and issuance of production credentials.

- f) All application submissions must be complete and compliant with the minimum requirements as published by the IPS Operator from time to time. Incomplete or unverified submissions will not be processed.

8.4.4. *Endorsement by Bank of Namibia*

- a) Following the internal evaluation, the IPS Operator shall submit its recommendation whether to authorise or reject the application to the Bank of Namibia for endorsement.
- b) The decision of the IPS Operator regarding an applicant's authorisation or rejection is subject to the prior endorsement of the Bank of Namibia.
- c) The Bank of Namibia may endorse, supplement, modify, or make further recommendations on the Operator's proposed decision based on its regulatory oversight and assessment.

8.4.5. *Communication of Final Decision and Next Steps*

- a) Once the Bank of Namibia has endorsed the IPS Operator's decision, the IPS Operator shall formally communicate the outcome in writing within thirty (30) business days of receiving the endorsement to the applicant. The communication shall include any conditions or recommendations issued by the Bank of Namibia.
- b) If the application is approved, the IPS Operator shall provide the applicant with the onboarding roadmap, which may include:
 - i. Execution of legal agreements
 - ii. Payment of applicable joining fees as prescribed by the IPN
 - iii. System integration and connectivity timelines
 - iv. Testing and certification requirements; and
 - v. Operational readiness procedures.

- d) If the application is declined, the IPS Operator shall, within 30 days, communicate the decision and the reasons thereof, including any regulatory considerations from the Bank of Namibia.
- e) Acceptance into the IPS Scheme is conditional upon the applicant's ability to complete all required onboarding activities, including certification testing, execution of legal agreements, and confirmation of operational readiness.

8.4.6. *Appeal Process*

- a) In the event of a rejection, the applicant may initiate an appeal by submitting a formal written request to the Bank of Namibia (the Regulator).

9. Rights and Duties of Scheme Participants

9.1. Introduction

- 9.1.1. This section outlines the binding rights and duties of participants admitted into the Instant Payment Solution (IPS) Scheme. These rights and duties are informed by the overarching regulatory framework under the PSM Act, the associated Bank of Namibia Determinations (PSD-1, PSD-6, etc.), and the operational governance of the IPS Operator. Participants are required to always observe these rules.
- 9.1.2. Non-compliance may result in corrective measures, including warnings, fines, restrictions, suspensions and/or termination of scheme membership.

9.2. Rights of Scheme Participants

All authorised IPS participants shall have the following rights:

9.2.1. Right to Access Scheme Infrastructure

Participants shall have complete and non-discriminatory access to the IPS infrastructure, provided they meet the applicable eligibility, technical, and operational requirements.

9.2.2. Right to Participate in Scheme Governance

Participants may be invited to participate in forums and working groups established by the IPS Operator for the purpose of rule amendments, system enhancements, or performance reviews. Voting rights, where applicable, will be limited to categories defined in the IPN governance structure.

9.2.3. Right to Transparent Information

Participants have the right to receive timely and transparent information on:

- a) Changes to scheme rules or operating procedures;
- b) Scheduled maintenance, downtime, or major incidents; and
- c) Performance metrics or compliance benchmarks.

9.2.4. Right to Withdraw from the Scheme

Participants may voluntarily terminate their membership by providing the IPS Operator with a minimum of 90 calendar days' written notice. Exit will be subject to regulatory approval and the settlement of all financial obligations and compliance with the exit procedure, including:

- d) Exit audit; and
- e) Submission of transaction and settlement reconciliation reports.

9.3. Duties of Scheme Participants

Participation in the IPS is a privilege that carries with it several responsibilities, including the duty to maintain compliance, uphold system integrity, and support overall scheme performance.

9.3.1. Compliance with Legal and Regulatory Obligations

Participants shall:

- a) Ensure continuous compliance with the PSM Act, 2023, the Banking Institutions Act, 2023, PSD-1, PSD-6, and all relevant laws;
- b) Maintain good standing with the Bank of Namibia,; and
- c) Submit any supervisory reviews, inspections, or information requests initiated by the Bank or IPS Operator.

9.3.2. Cooperation with the IPS Operator

Participants shall:

- a) Respond timeously to all reasonable requests for information from the IPS Operator;
- b) Cooperate in system-wide activities, including incident investigations, operational reviews, and industry benchmarking initiatives; and
- c) Share relevant data needed for risk assessment, scheme enhancements, or market development, subject to confidentiality provisions.

9.3.3. All system participants must:

- a) Comply fully with the IPS Scheme Rules and any supplementary guidance, manuals, or circulars issued by the IPS Operator.
- b) Maintain ongoing compliance with applicable laws and regulations, including AML/CFT, data protection, and consumer protection legislation.
- c) Submit required reports, including compliance updates, technical performance audits, and incident notifications.
- d) Cooperate with the IPS Operator and the Bank of Namibia during investigations, audits, and system upgrades.
- e) Maintain uninterrupted system connectivity and operational availability in accordance with service-level requirements.

9.3.4. Operational Performance and Settlement

Participants must:

- a) Maintain 99.9% system availability and real-time processing capabilities in line with IPS technical and service-level requirements;
- b) Ensure accurate and timely settlement of all obligations arising from IPS transactions;
- c) Submit reconciliation and settlement data daily or as otherwise prescribed by the IPS Operator.
- d) Provide other IPSPs with adequate and timely settlement information, including but not limited to transaction identifiers, timestamps, error notifications, and confirmation messages to enable accurate counterparty reconciliation;
- e) Ensure that settlement-related systems, files, and interfaces remain consistently available during core IPS operational hours to facilitate seamless inter-participant clearing and settlement processes.

9.3.5. Risk and Incident Reporting

Participants shall:

- a) Promptly report to the IPS Operator any incident that could pose a material risk to the scheme, including but not limited to: data breaches, service disruptions, fraud incidents, and compliance breaches;
- b) Provide a formal incident report within 48 hours of any qualifying event, including root cause, immediate corrective measures, and mitigation plans;
- c) Maintain a record of incidents and provide regular updates on incident resolution status upon request.

9.3.6. Participation in Reviews and Audits

Participants shall:

- a) Undergo periodic membership reviews as required by the IPS Operator to evaluate continued compliance and system fitness;
- b) Participate and render support during audits initiated by the IPS Operator;

- c) Submit operational reports, including:
 - i) Performance and stress test results;
 - ii) Penetration test summaries (annually).

9.3.7. Respect for Scheme Interoperability and Competition Principles

Participants must:

- a) Avoid anti-competitive behaviour and practices that could undermine the interoperability or neutrality of the IPS;
- b) Ensure fair access to customers across the IPS network, including indirect participants and enablers.

9.3.8. Obligation to Pay Prescribed Fees

Participants are required to pay all applicable fees as prescribed in the ***Fee Book*** of the IPS Scheme Rules and as stipulated by the Bank of Namibia.

9.3.9. Amendments to Rights and Duties

- a) The IPS Operator, in consultation with the Bank of Namibia, reserves the right to amend or expand these rights and duties. Any material changes will be communicated to participants at least 30 business days in advance, unless earlier enforcement is required by law or regulation.
- b) Participants will have the opportunity to comment on proposed amendments through structured consultation forums. Failure to adhere to amended rules, once adopted, may result in penalties as outlined in the scheme enforcement framework.

10. Suspension and Termination of Scheme Participation

10.1. Introduction

- 10.1.1.** The integrity, efficiency, and security of the IPS Scheme depend on the continuous compliance of all participants with the IPS Scheme Rules, product rules, operational standards, and applicable regulatory requirements. Accordingly, the IPS Operator reserves the right to suspend or terminate a participant's access to the Scheme under the conditions outlined below.
- 10.1.2.** Suspension or termination may arise from voluntary, regulatory, or non-compliance-based causes, and shall be exercised in line with the principles of due process, proportionality, and transparency, subject to oversight by the Bank of Namibia.

10.2. Grounds for Suspension or Termination

A participant may be suspended or terminated from the IPS Scheme under the following circumstances:

10.2.1. Non-compliance with Scheme Rules or Regulatory Requirements

- a) Persistent or material breach of Scheme Rules, product rules, TSD, or FSD obligations;
- b) Failure to provide accurate or timely transaction, settlement, or incident reports;
- c) Inability or refusal to cooperate with system investigations, audits, or compliance reviews;
- d) Failure to maintain regulatory licensing under PSD-1 or the Banking Institutions Act; or
- e) Contravention of the PSM Act or any determination issued by the Bank of Namibia.

10.2.2. Financial Default or Non-Payment

- a) Repeated failure to meet settlement obligations or to pay scheme-related fees;

- b) Insolvency, liquidation, or entry into administration; or
- c) Suspension or revocation of the participant's settlement account by the settlement agent.

10.2.3. Mandate from a Competent Authority

- a) Directive or ruling from a judicial, regulatory, or supervisory authority (e.g., High Court, Bank of Namibia, NamRA, NamFISA, or Financial Intelligence Centre); or
- b) Revocation of payment service provider license.

10.2.4. Threats to System Integrity

- a) Operational practices or system failures that pose a credible threat to the security, stability, or performance of the IPS infrastructure; or
- b) Engagement in fraudulent, criminal, or high-risk activity that may compromise other participants or the IPS Operator.

10.2.5. Suspension Process

- a) A participant may be suspended for a defined period not exceeding six (6) months, during which it must remedy the issue(s) cited by the IPS Operator.
- b) The suspension notice shall include:
 - i) Reason for suspension;
 - ii) Conditions to be fulfilled for reinstatement; and
 - iii) Suspension start and review dates;
- c) During suspension, the participant:
 - i) Shall not initiate new transactions through the IPS;
 - ii) May be restricted to receiving incoming transactions only (at the discretion of the Operator); and
 - iii) Must continue to meet its financial and regulatory obligations.

10.3. Termination Process

Termination is considered a last resort, used when a participant fails to rectify deficiencies following a suspension or where continued participation poses undue risk.

10.3.1. The IPS Operator shall:

- a) Issue a formal notice of termination with supporting rationale;
- b) Provide a 30-business-day notice period, unless the termination must be immediate due to a regulatory directive or imminent risk;
- c) Engage the Bank of Namibia for endorsement prior to final enforcement.

10.3.2. Appeals Process

- a) Participants have the right to appeal a decision to suspend or terminate.
- b) The appeal must be submitted in writing within 10 business days of receiving the decision.
- c) Appeals shall be reviewed by the IPN and endorsed by the Bank of Namibia.
- d) The IPN may invite the participant to present their case via a hearing (physical or virtual);
- e) A decision on the appeal will be issued within 15 business days of submission.
- f) Only one appeal per incident may be lodged, and the decision of the IPN shall be final and binding.

10.3.3. Post-Termination Obligations and Liabilities

Termination of participation does not exempt the defaulting institution from its financial or legal obligations under the Scheme:

- a) The participant remains liable for:
 - i. All fees and charges accrued prior to the termination date;
 - ii. Any breaches of the Scheme Rules committed prior to or on the date of termination;

- iii. Any claims or disputes arising from transactions processed before the effective date of termination;
- b) The participant may continue to settle residual transactions through a sponsoring participant (subject to IPS Operator approval), but may not access the IPS directly.
- c) The participant must cooperate in final audits and reconciliation activities initiated by the IPS Operator.

10.3.4. Data Retention and Recordkeeping

In accordance with international best practices and Namibian legal expectations, a terminated participant shall:

- a) Retain all IPS-related transactional data, audit logs, reconciliation records, and customer-facing reports for a period of five (5) years from the date of termination;
- b) Ensure such data remains accessible to:
 - i. The Bank of Namibia;
 - ii. The IPS Operator;
 - iii. Any appointed regulatory authority or external auditor;
- c) Maintain data in accordance with applicable data protection laws and cybersecurity standards.

10.3.5. Stakeholder Notification

Upon suspension or termination of a participant, the IPS Operator shall formally notify the following parties:

- a) Bank of Namibia (primary regulator);
- b) All active IPS participants (banks, PIIIs);
- c) Relevant third-party service providers, including:
 - i. Network Service Providers;
 - ii. Mobile Network Operators (MNOs);
 - iii. Overlay service providers or enabler platforms;

- d) The sponsoring bank of the affected participant, if applicable (for indirect participants).

10.3.6. The notifications will include:

- a) The nature of the enforcement action (suspension/termination);
- b) Effective date of enforcement;
- c) Any conditional measures or transitional arrangements (e.g., fallback settlement procedures);
- d) Contact points for further clarification.

11. Compliance Guidelines

11.1. Objectives of the Compliance Framework

- 11.1.1.** The IPN Compliance Framework is designed to uphold the integrity, security, and resilience of the Instant Payment Solution by ensuring that all Scheme Participants operate within the boundaries of applicable laws, scheme rules, and industry standards. It supports risk mitigation, strengthens public confidence, and establishes mechanisms for continuous monitoring and enforcement of participant obligations. The framework enables both the Scheme Operator and participants to proactively manage risks, ensure legal compliance, and align operational practices with internationally recognised benchmarks.

11.2. Regulatory Compliance and Industry Certifications

11.2.1. Mandatory Compliance Framework

- a) The IPS Scheme shall operate in accordance with a Mandatory Compliance Framework that ensures participants adhere to all applicable laws, regulations, and scheme rules. This framework includes the following key elements:

- i. **Baseline Regulatory Obligations:** Participants must comply with the Payment System Management Act of 2023 (as amended); PSD-1 and PSD-6 Determinations; Banking Institutions Act of 2023; Financial Intelligence Act of 2012 (as amended); Competition Act of 2003 (as amended); Consumer Protection and the Namibian Data Protection Bill (upon enactment). These regulations should be read in conjunction with the rules in these Scheme Rules, the Product Rules and the Functional Specification Document.
- ii. **Industry Rules Compliance:** Participants must comply with the IPS Payment Clearing House (PCH) Rules as issued and maintained by the Payments Association of Namibia (PAN). These rules will govern the clearing arrangements, processing standards, settlement timelines, and conduct of participants within the IPS ecosystem. The IPS Operator shall align its operational oversight with the PCH Rules and ensure that all participants are continuously informed of any amendments to these rules. Non-compliance with the IPS PCH Rules may trigger Scheme-level enforcement actions in accordance with this Rulebook and the PAN compliance framework.
- iii. **Self-Assessment and Due Diligence:** All participants must conduct internal compliance assessments biannually using the standard IPS Self-Assessment Template¹. Results must be submitted to Instant Payments Namibia for the attention of the Chief Operating Officer within 30 working days after sign-off.
- iv. **Scheme Rule Adherence:** Participants must implement policies to ensure compliance with all rights and duties outlined in Section 9 of this Rulebook.
- v. **Regulatory Engagement:** In cases of material non-compliance, participants must notify the IPS Operator within 48 hours and cooperate with both the Operator and the Bank of Namibia for resolution.

¹ To be provided as an annexure.

- vi. **Oversight and Reporting:** The IPN will conduct periodic compliance checks and issue compliance status reports to the IPS Governance Board. Repeat non-compliance will trigger enforcement actions under Section 10.
 - a) Participants must also maintain documentation to support compliance efforts, including:
 - i. Valid licences and regulatory approvals
 - ii. Internal AML/CFT and data protection policies aligned with Financial Intelligence Act obligations.
 - iii. Evidence of data privacy frameworks and incident response plans.
 - iv. Copies of user terms, disclosures, incident response and consumer protection frameworks
 - b) The IPS Operator reserves the right to conduct compliance assessments or request ad-hoc documentation in response to market developments, consumer complaints, or supervisory concerns.

11.2.2. Framework for Redress for Scheme Non-compliance

- a) The Scheme shall maintain a formal redress framework to manage participant non-compliance. This framework includes:
 - i. **Classification of Breaches:**
 - *Operational Breach:* e.g. failure to meet SLAs or system downtime.
 - *Financial Breach:* e.g. unpaid fees or failure to fund settlement accounts.
 - *Regulatory Breach:* e.g. invalid license or violation of PSD-6.

- ii. **Disciplinary Measures:** These may include written warnings, mandatory remediation plans, administrative penalties, or suspension.
- iii. **Appeals Process:** Any disciplinary action taken by IPN may be appealed through the Bank of Namibia as the Regulator of IPN and its system participants.

11.2.3. Regulatory Compliance and Mandatory Industry Certifications

a) To ensure system integrity and alignment with global standards, the following regulatory compliance and certifications are mandatory:

- i. **Information Security Compliance:** All participants must at all times maintain good standing by implementing and upholding information security measures that are fully compliant with the laws, regulations, and directives of the Bank of Namibia, including but not limited to those applicable to the safeguarding of IT infrastructure used to access and operate within the IPS.
- ii. **Application Security Certification:** Customer-facing applications must undergo annual penetration testing by a certified provider and conform to IPS functional and performance benchmarks.
- iii. **PCI-DSS Certification:** Any participant involved in card-based services or payment tokens must be PCI-DSS certified and produce a Qualified Security Assessor (QSA) audit and a Report on Compliance (ROC).
- iv. **Business Continuity Certification:** All participants must maintain good standing at all times by having a Business Continuity and Disaster Recovery framework in place and upholding its full compliance with the laws, regulations, and directives of the Bank of Namibia.
- v. **PFMI Alignment:** All participants and the IPS Operator must operate in accordance with the Principles for Financial Market Infrastructures (PFMIs) issued by the Committee on Payments and Market Infrastructures (CPMI)

and the International Organisation of Securities Commissions (IOSCO). These principles establish global standards for the safety, efficiency, and resilience of payment systems, particularly in terms of governance, risk management, settlement, and operational reliability.

- vi. **EMVCo Standards:** Participants involved in the issuance or acceptance of payment cards or QR-based tokens must conform to EMVCo specifications, which standardise secure transactions through chip-based and contactless technologies. EMVCo promotes interoperability and global acceptance of secure payments.
 - vii. **NAM QR Compliance:** Participants offering QR code-based payment services must adhere to the NAM QR Code standards, as issued or endorsed by the Bank of Namibia or the Payments Association of Namibia. This ensures interoperability, security, and standardised consumer experiences in the domestic QR payment ecosystem.
 - viii. **Open Banking Compliance:** Where applicable, participants integrating third-party financial service providers or APIs into their platforms must comply with Open Banking regulations and guidelines, including those relating to customer consent, secure authentication, and data sharing frameworks. The IPS Operator may issue additional implementation requirements aligned to national Open Banking policies.
- b) Failure to obtain or renew these certifications within the prescribed timeframes will result in the IPS Operator taking the appropriate action to induce remedies by the participant.
- c) All IPS participants must maintain full and ongoing compliance with applicable national laws and regulatory frameworks, Bank of Namibia determinations, and scheme-level obligations governing payments and financial transactions.

Regulatory compliance is not a one-off obligation but a continuous requirement subject to review, audit, and enforcement by both the IPS Operator and the Bank of Namibia.

11.3. Risk Management and Mitigation

11.3.1. Internal Controls

- a) The IPS Operator and participants must adopt a layered internal control framework to support effective risk governance. These shall include:
 - i. **Risk Management Framework:** All participants must implement a formal Risk Management Framework, which is reviewed annually by their Board of Directors.
 - ii. **Enforceability of Scheme Rules:** Participants must establish and implement internal compliance programs to ensure the enforcement of scheme obligations across all relevant departments (e.g., Operations, IT, Compliance).
 - iii. **Independent Reviews:** Participants must conduct an internal (or third-party) audit of IPS-related processes at least annually and submit the summary findings to IPN.
 - iv. **Monitoring Tools:** Participants must deploy automated tools to detect system downtime, settlement failures, and threshold breaches.
- b) Participants must also assign a designated risk officer responsible for IPS compliance.

11.3.2. Member restrictions

- a) While the IPS Scheme promotes fair and non-discriminatory access, the Operator reserves the right to impose or amend restrictions based on risk evaluations. These may include:

- i. **License Conditions:** Participants may be restricted based on the scope or condition of their regulatory license.
 - ii. **Capital Adequacy Concerns:** Participants with insufficient capital or failing to meet financial soundness requirements, as determined by the Bank of Namibia, the Regulator, may be restricted from onboarding new customers.
 - iii. **Heightened Risk Profiles:** Participants identified as having repeated non-compliance or an elevated operational risk may be temporarily restricted or placed under enhanced monitoring.
- b) The IPS Operator shall publish a Member Restriction Policy (see Annexure D) outlining triggers, processes, and review timelines.

11.3.3. Fraud-risk management policy

- a) To ensure a secure environment, the IPS Operator will enforce a centralised fraud risk management framework, supported by participants' internal controls. Key provisions include:
- i. **Fraud Risk Identification:** Participants must implement controls to detect suspicious activity and transaction anomalies using pattern recognition and real-time fraud monitoring systems.
 - ii. **Mandatory Reporting:** All fraud incidents, whether confirmed or suspected, must be reported to the IPN within 24 hours, accompanied by a full incident report submitted within 72 hours.
 - iii. **Liability Allocation:** Participants shall be liable for fraud arising from their internal systems, access controls, or authentication failures.
 - iv. **Remediation and Arbitration:** A dispute arising from fraud liability shall be escalated to the IPN. Decisions will be guided by predefined liability-sharing principles.

- v. **Ongoing Monitoring:** Participants' fraud response capabilities will be reviewed biannually. The IPS Operator reserves the right to impose mandatory upgrades to fraud detection systems based on emerging threat intelligence.
- b) To maintain the integrity and security of the IPS, a robust framework for fraud prevention is in place. The IPS Operator will employ centralised fraud monitoring mechanisms that track transaction patterns, detect anomalies, and flag suspicious activities at the central switch level. This tool does not aim to replace fraud detection and management capabilities of participants but rather acts as a second layer of defence and protects the ecosystem.
- c) Participants shall be required to implement and maintain internal fraud prevention mechanisms that meet minimum technical and operational standards defined by the IPS Operator. At a minimum, all participants must:
 - i. Deploy real-time fraud detection tools capable of monitoring transaction activity continuously, identifying anomalies, and triggering automated alerts for suspicious patterns.
 - ii. Establish and maintain risk mitigation protocols that safeguard the interests of both consumers and participating institutions. These protocols must include fraud prevention procedures, escalation processes, and defined response times.
 - iii. Ensure that fraud detection systems mirror that of the IPS Operator's centralised fraud and risk management system to support secure data sharing for coordinated response and analysis.
 - iv. Submit their internal fraud management frameworks and system configurations for review by the IPS Operator upon onboarding and subsequently on an annual basis, or as required in response to emerging threats.

- v. Maintain appropriate staffing, oversight, and governance structures (including a designated fraud risk officer) to ensure timely action and accountability in fraud risk matters.
- d) The IPS Operator will also provide fraud alerts and risk assessment reports to participants, allowing them to take proactive measures to mitigate threats. These resources are intended to enable proactive threat detection, facilitate informed decision-making, and strengthen participants' internal controls against emerging fraud vectors. Additionally, a secure authentication framework, including multi-factor authentication and biometric validation, will be implemented to enhance security across all IPS transactions.
- e) Additionally, the IPS Operator will implement an Electronic Fraud and Risk Management (eFRM) service, which will serve as a shared fraud intelligence utility for Scheme Participants. The eFRM will enable real-time fraud screening, transaction risk scoring, and behavioural analytics across the IPS ecosystem.
- f) While the detailed operational and product rules governing the eFRM service are still under development, participants are advised that compliance with the eFRM framework will be mandatory upon implementation. This section will be expanded accordingly once the final eFRM Business and Product Rules have been approved and published by the IPS Operator.
- g) A robust risk management framework is critical to ensuring the safety, reliability, and trustworthiness of the IPS ecosystem. Participants must develop and maintain risk controls that align with IPS-level standards and cover key operational and strategic risks.

11.3.4. Risk Categories

The following table outlines the core risk categories that must be addressed by participants in their internal risk management plans:

Risk Category	Description
Operational Risk	Risks from failed processes, system downtime, or human error
Liquidity Risk	Risk of being unable to settle IPS obligations in real-time
Credit/Counterparty Risk	Exposure due to default by a counterparty (e.g., in settlement arrangements)
Cybersecurity Risk	Unauthorised access, data breaches, malware, and denial-of-service attacks
Financial Crime Risk	Risks related to money laundering, terrorism financing, or fraud
Reputational Risk	Negative public perception due to service failure or customer mistreatment
Legal and Regulatory Risk	Risk of non-compliance with regulatory or contractual obligations
Technology Risk	Hardware/software failure, poor integration, or loss of data integrity

11.3.5. Participant Responsibilities

- a) All participants must:
 - i. Establish a formal Risk Management Framework aligned with these categories.
 - ii. Designate a risk and compliance officer or function responsible for IPS operations.
 - iii. Ensure the implementation of technical controls such as:
 - Two-factor authentication (2FA),
 - Real-time transaction monitoring,
 - Limits on transaction values and frequency.

11.4. Blacklisting and Hot-listing of User Handles

11.4.1. Grounds for Blacklisting

- a) A Participant shall blacklist a User or Handle only when:
 - i) Fraud, money-laundering or terrorist-financing activity is suspected or confirmed;
 - ii) A court order, regulatory directive or sanctions listing so requires;
 - iii) Repeated or egregious breaches of Scheme Rules or applicable law are proven; or
 - iv) A Handle (i.e. a User) was used to compromise, or attempt to compromise, the IPS infrastructure.
- b) A Participant may hot-list a User or Handle when:
 - i) transaction-monitoring systems flag high-risk or anomalous patterns;
 - ii) credible but unverified fraud allegations are received;
 - iii) signs of account takeover, social-engineering or credential stuffing appear; or
 - iv) abnormal activity following a period of dormancy.

11.4.2. Duration

- a) Blacklisting shall remain in force indefinitely, unless revoked under clause 11.4.3.
- b) Hot-listing shall not exceed thirty (30) calendar days unless extended by the IPS Operator on reasonable grounds documented by the Participant.

11.4.3. Review and Revocation

- a) Affected parties may submit a written appeal to the Participant who imposed the listing.
- b) The Participant shall complete an evidence-based review within fifteen (15) business days and either:
 - i) Uphold the listing, stating reasons; or

- ii) Revoke the listing and restore full service.
- c) Where blacklisting was based on a regulatory or judicial order, revocation shall require prior written clearance from the issuing authority.
- d) Revocations shall be reported to the IPS Operator within one (1) business day.

11.4.4. Notification and Record-Keeping

- a) Except where prohibited by law or supervisory instruction, the Participant shall notify the affected User of the listing, providing:
 - i) the type of listing applied;
 - ii) the date of effect; and
 - iii) available channels for appeal.
- b) Participants shall retain auditable records of all listings, supporting evidence, investigations and revocation actions for a minimum of five (5) years.

11.4.5. Operator Oversight

- a) The IPS Operator may instruct a Participant to impose, maintain, review or revoke a listing where systemic risk, regulatory compliance, or Scheme integrity so requires.
- b) Participants must comply with the instructions provided by the IPS Operator within the specified timelines.

11.4.6. Reporting Obligations

- a) All blacklisting and hot-listing actions, including revocations, shall be reported to the IPS Operator within one (1) business day.
- b) Aggregated listing statistics shall be submitted in the Participant's monthly risk-management report.

12. Operations

12.1. Objectives of Operational Guidelines

12.1.1. The objective of this section is to establish a comprehensive operational framework that defines the roles, responsibilities, and standards that govern the day-to-day operations of participants in the IPS Scheme. These guidelines are intended to ensure:

- a) Seamless interoperability among participants;
- b) Adherence to uniform settlement and reconciliation protocols;
- c) Effective dispute resolution processes;
- d) Risk reduction through continuous monitoring and fraud detection.

12.1.2. These operational rules are binding for all IPS participants and are subject to updates in accordance with changes to legal, regulatory, or scheme-level requirements.

12.2. Reconciliation and Settlement

12.2.1. Purpose

- a) This section outlines the rules governing reconciliation and settlement within the Instant Payment Solution (IPS). These processes are foundational to ensuring secure, efficient, and transparent fund transfers between IPS participants. The IPS Operator governs a centralised back-office platform known as the IPS Real-Time Clearing and Settlement (IRCS) system, which ensures automated reconciliation, generation of settlement files, and execution of net multilateral settlements through the Namibia Interbank Settlement System (NISS).
- b) The settlement process is designed to support both direct and indirect participation models. Direct participants maintain settlement accounts in the NISS, which is

operated by the Bank of Namibia. Indirect participants are sponsored through a direct participant's NISS account.

12.2.2. Onboarding to the Reconciliation and Settlement Platform

- a) In addition to onboarding on the IPS Switch platform, all participants are required to onboard onto the IRCS system to ensure full participation in the end-to-end transaction lifecycle, including settlement and reporting.
- b) The onboarding process includes:
 - i. Issuance of Participant Identification Codes (PICs)
 - ii. Setup and configuration of settlement accounts (direct or sponsored)
 - iii. User creation and permission assignment on the IRCS
 - iv. Connectivity and file exchange configuration (e.g., FTP/SFTP)
- c) The IPS Operator is responsible for managing and facilitating the onboarding process in accordance with system and security protocols. Only upon completion of onboarding to both the switching and settlement platforms may a participant be considered operationally live within the IPS ecosystem.

12.2.3. Participant Identification

- a) To ensure accurate routing and settlement, the IPS Operator issues each IPS participant a Participant Identification Code (PIC). The PIC is alphanumeric and formatted as follows:
 - i. First 4 characters: BIC name (letters only)

- ii. Fifth character: Identifier (0 for banks, 1 for non-banks)
 - iii. Last 6 characters: Unique numeric code
- b) For settlement purposes, these PICs are matched to the participant's SWIFT code, which will be used in the Multilateral Net Settlement Batch (MNSB) file generation. While participants are not required to have BIC codes unless they are direct settlement participants, all participants are identifiable in the IRCS regardless of their tier (i.e., direct or indirect). The IPS Operator is responsible for assigning and maintaining these codes.

12.2.4. Reconciliation Process

- a) All completed, deemed, or unsuccessful transactions processed through the IPS Switch are routed to the IRCS for reconciliation. The reconciliation process involves:
- i. Automatic syncing of transaction records between the IPS Switch and the IRCS.
 - ii. Comparison of raw data files, CBS files, and IPS Switch files by participants.
 - iii. Identification and resolution of discrepancies by participants via the operations portal.
- b) In cases of deemed transactions, participants must:
- i. Raise a Transaction Credit Confirmation (TCC) if the beneficiary has been credited.
 - ii. Raise a Return (RET) to initiate reversal if no credit occurred.
 - iii. Ensure the originating participant issues a Debit Reversal Confirmation (DRC) after a return is effected.
- c) Reconciliation is fully automated, and summary outputs are made available to administrative users for transparency and monitoring.

12.2.5. Settlement Framework

- a) The IPS operates a centralised multilateral net settlement system, where obligations between participants are netted and settled via the NISS. The formal Settlement Agency for IPS transactions is the Bank of Namibia, which administers the Namibia Interbank Settlement System (NISS), managing file generation and submission.
- b) All IPS participants are required to maintain a settlement account with the NISS at the Bank of Namibia. Participants without direct access to NISS will participate via a sponsoring institution (tiered participation). The sponsor bears responsibility for the obligations and positions of any indirect participants it represents.
- c) Settlement is conducted through a Multilateral Net Settlement Batch (MNSB) file, generated in ISO 20022 format (i.e.pacs.009). The MNSB file includes:
 - i. Net payable/receivable values
 - ii. Interchange fees
 - iii. Switching fees owed to the IPS Operator
 - iv. Any penalties or adjustments
- d) As the appointed Settlement Agency, the Bank of Namibia serves as:
 - i. The intermediary between participants and the IPS Operator
 - ii. The processor and final authority for posting net obligations to participants' settlement accounts
 - iii. The institution that guarantees settlement finality
- e) All IPS settlements occur via the submission of ISO-standard MNSB files to the NISS (in batches) through a secure channel. Settlement entries submitted to NISS

are final and irrevocable. This partnership ensures regulatory oversight, finality, and alignment with national payment infrastructure policies.

12.2.6. Settlement Models and Cycles

- a) The IPS settlement process follows a Deferred Net Settlement (DNS) model. Under DNS, transactions are aggregated over a defined period and netted before submission to the NISS. This method is efficient, minimises liquidity requirements, and supports batch-based reconciliation.
- b) The Real-Time Gross Settlement (RTGS) model, where each transaction is settled individually in real time, is not employed for IPS transactions. Instead, RTGS is used downstream at the NISS level, where the final multilateral settlement amounts are posted to each participant's NISS account in real-time based on the netted values calculated by IRCS.
- c) Thus, while IPS itself does not process individual RTGS settlements per transaction, the clearing file submitted to NISS is processed using RTGS infrastructure, ensuring finality and immediacy once files are accepted.
- d) Settlement cycles (windows) are pre-configured and automated via IRCS. For the initial go-live phase, the following cycles will be active:

Weekdays (Monday to Friday):

- SW1: 08:00
- SW2: 12:00
- SW3: 15:00

Saturdays:

- SW1: 11:00

- e) Additional windows (e.g., 19:00 weekdays, 15:00 Saturdays) are configured for future enablement based on system demands and participant readiness.
- a) File delivery is automated via FTP and structured to support both human-readable formats (CSV) and machine-readable ISO 20022 messages.

12.2.7. Settlement Currency

- a) All IPS settlements are denominated in Namibia Dollars (NAD) and conducted through NISS. Should cross-border functionalities be introduced in future scheme enhancements, the IPS Operator will define the applicable currency conversion methodologies.

12.2.8. Reporting and Reconciliation Outputs

- a) Participants receive daily settlement reports generated by the IRCS, which include:
 - i. **Raw Data File:** All individual transactions (remitter and beneficiary views only)
 - ii. **Net Settlement Report (NTSL):** Net positions, interchange, switching fees
 - iii. **Adjustment File:** Raised or received disputes
 - iv. **Pending Status Reports:** Transactions awaiting resolution
 - v. **Timeout Reports:** Transactions exceeding time limits
- b) These reports are disseminated simultaneously with the submission of settlement instructions to NISS. Participants are required to verify these files; however, settlement finality is not contingent on participant verification.

12.2.9. Dispute and Adjustment Handling

- a) Participants may raise disputes through the IRCS operations portal:
 - i. Single dispute entry or bulk file upload
 - ii. Visibility into both raised and received disputes

- iii. Receipt of Adjustment Reports reflecting all dispute activities

- b) Disputed transactions are excluded from the current settlement cycle and resolved separately. Adjustments arising from disputes are included in subsequent netting calculations.

12.2.10. Access and Configuration Controls

- a) The IRCS maintains:

- i. Participant and user master data
- ii. Roles and access privilege configuration
- iii. Dispute type and fee structure definitions

- b) Access to IRCS modules is managed by Admin users with role-based permissions, ensuring secure and auditable interactions.

12.2.11. Liquidity Management

- a) The IPS provides each participant with visibility of their exposure values per settlement window, enabling real-time monitoring of payable and receivable positions. Access is restricted:

- i. Participants see only their own exposures
- ii. The IPS Operator and Bank of Namibia may view system-wide exposures

- b) This visibility supports proactive liquidity planning and management.

12.2.12. Compliance and Enforcement

- a) Participants must:

- i. Maintain sufficient funds in settlement accounts to meet their settlement obligations.
- ii. Ensure timely reconciliation and reporting

iii. Adhere to settlement cut-off times and dispute resolution guidelines

b) Failure to comply with the settlement framework may result in penalties as prescribed in the IPS Compliance and Fee Schedules. The IPS Operator reserves the right to suspend or restrict participation for chronic non-compliance.

12.3. Dispute Management

Disputes related to IPS transactions shall be dealt with in accordance with the Payments Association of Namibia IPS PCH Rules.

12.4. Monitoring

12.4.1. Overview

a) Monitoring is a critical operational requirement of the IPS ecosystem. It supports the prevention of fraud, ensures system integrity, and enables the Scheme Operator to proactively detect abnormal activity and manage associated risks. Monitoring under the IPS shall be undertaken by Instant Payments Namibia (IPN), as the Scheme Operator, and by all IPS participants in accordance with the responsibilities set out herein.

b) Monitoring activities are categorised into the following two components:

- i. Transaction Monitoring
- ii. Fraud Checks and Related Monitoring

12.4.2. Transaction Monitoring

a) The IPN, as the Scheme Operator, shall maintain a dedicated monitoring function to observe transaction activity across the IPS ecosystem in real-time or near real-time. This function is responsible for the detection of:

- i. Unusual transaction patterns (e.g. significant deviations from historical norms)
 - ii. High-frequency transaction bursts within short time intervals
 - iii. Sudden spikes in transaction volumes for specific merchants or end-users
 - iv. Large-value transactions originating from accounts previously associated with lower-value activity.
- b) The monitoring function shall be supported by defined and automated rule sets, which may be updated periodically based on emerging fraud trends, behavioural patterns, and risk assessments. These rules shall be applied through the central IPS switching infrastructure or any monitoring platform deployed by IPN or an authorised third-party operator.
- c) Where applicable, IPN may define and apply specific thresholds or alert triggers to identify and manage risks arising from abnormal transaction activity. IPN shall document and regularly review these rules, sharing relevant updates with participants and incorporating feedback where necessary.
- d) Participants are expected to comply with monitoring directives issued by IPN and take remedial action in response to alerts communicated by the Scheme Operator.

12.4.3. Participant-Level Monitoring

12.5. Each IPS participant is required to implement its own transaction monitoring capabilities in accordance with these Scheme Rules and applicable laws. These internal monitoring systems shall be capable of:

- i. Detecting transaction threshold breaches or anomalies

- ii. Identifying repeated reversals, excessive refund patterns, or transaction disputes
- iii. Tracking channel-specific usage (e.g. mobile, online, USSD) for emerging risks

12.6. Participants must maintain logs of their monitoring outcomes and submit reports to IPN as per the frequency and format prescribed in the IPS Operating Guidelines. IPN reserves the right to request additional information or initiate joint investigations into systemic risks identified during participant-level monitoring.

12.6.1. Fraud Checks and Related Monitoring

- a) IPS participants shall be individually responsible for conducting all pre-transaction and post-transaction fraud checks within their own environments. These checks include, but are not limited to:
 - i. Know Your Customer (KYC) verification
 - ii. Customer due diligence and enhanced due diligence (EDD)
 - iii. Anti-Money Laundering (AML) screening (customer level)
 - iv. Counter-Terrorism Financing (CTF) controls
 - v. Sanctions list screening in line with Namibian laws and international standards (e.g., FATF guidelines)
- b) For real-time transaction processing, participants must ensure that these checks are completed either prior to transaction initiation or in parallel during processing to avoid compromising processing times.
- c) IPN will issue scheme-level fraud prevention rules and parameters that participants must incorporate into their risk models, including:

- i. Guidance on average transaction values per channel or customer type
 - ii. Threshold limits requiring additional review or EDD
 - iii. Reversal limits per customer or per channel
 - iv. Red flags related to IP address, device, or geographical usage inconsistencies
- d) Compliance with these parameters will be subject to review during periodic risk assessments, scheme audits, or supervisory reviews coordinated by IPN.

12.6.2. Central Oversight and Reporting

- a) IPN shall collect and analyse monitoring data across all participants to generate trend analyses, early warning indicators, and system-wide risk assessments.
- b) IPN shall share relevant fraud intelligence with IPS participants, in line with applicable data protection and confidentiality obligations, to promote collaborative fraud mitigation.
- c) The effectiveness of transaction monitoring and fraud mitigation activities shall be reviewed annually by IPN and may be subject to audit and oversight by the IPN Board or designated regulatory bodies.
- d) To ensure compliance with operational and regulatory standards, the IPS Operator will implement a continuous transaction monitoring system. This system will analyse transaction flows, detect unusual patterns, and provide participants with compliance reports. In cases of significant compliance breaches or security threats, participants will be required to take immediate corrective action and report incidents to the IPS Operator within prescribed timelines.

13. Fees and Charges

13.1. Scope and Objective

- 13.1.1.** This section outlines the fee structure and pricing philosophy underpinning participation in the Instant Payments Namibia (IPN) Scheme. The structure is designed to promote equitable cost recovery, financial sustainability, and ecosystem inclusivity while supporting the high-volume, real-time nature of the infrastructure.
- 13.1.2.** Fees applicable under the IPN Scheme shall be transparently charged and configured within the system architecture. These fees will be subject to periodic review on an annual basis, taking into consideration operational realities, infrastructure costs, market developments, and recommendations of the IPN Board.
- 13.1.3.** The IPN Operator will publish an IPN Fee Book annually, detailing the applicable fee categories, rates, and conditions. This document will form an integral part of the Scheme's operational circulars and will be binding on all Scheme Participants.
- 13.1.4.** The following fees are provided in the IPN Fee Book:
- a) Onboarding fee
 - b) Participation fee
 - c) Switching fee
 - d) Additional fees

14. Technology

14.1. Objective and Overview of the Technology Framework

- 14.1.1.** The Instant Payment Solution (IPS) of Namibia is designed as a 24/7/365 real-time payment ecosystem, enabling secure, always-on, and interoperable digital payments. The technology framework outlined herein defines the architecture, standards, and obligations of all system participants to ensure continuous service availability, resilience, and security.
- 14.1.2.** The IPS is API-based and adheres to international best practices in real-time payments. All IPS Participants shall comply with the standards and controls defined in this section and the associated Technical Specification Document (TSD). Technical non-compliance may result in penalties, suspension, or termination as per these Scheme Rules.

14.2. Messaging Standards and Communication Protocols

14.2.1. Messaging Standards

- a) The IPS uses RESTful APIs for all financial and non-financial transaction flows, defined in the IPS Functional and Technical Specification Documents. Standardised payload structures ensure consistent interpretation of messages across the ecosystem. All APIs use XML schema over HTTPS with clear status codes and defined error handling procedures.
- b) **Standard:** ISO 20022 message structures are used for settlement to the NISS. A proprietary standard is used during initial rollout as outlined in the FSD.

14.2.2. Mode of Communication

- a) All communication with the IPS switch is via API-based, asynchronous RESTful services. Participants must support synchronous handshake for payment

acknowledgements and asynchronous updates for dispute resolution, settlement responses, and fraud notifications.

14.2.3. Transaction Types

- a) Participants must support credit-push transactions for P2P, P2B, B2P, G2P, merchant cash-in, and ATM cash-out use cases. Debit-pull models are out of scope for go-live.

14.2.4. Message Security and Validation

- a) All message exchanges shall be digitally signed. Validation of sender authenticity, payload integrity, and message non-repudiation must be ensured through Public Key Infrastructure (PKI). Authentication must follow two-factor or tokenised schemes.

14.3. Technical Infrastructure and Integration Requirements

14.3.1. Integration Requirements

- a) Connectivity to the IPS switch will be provisioned exclusively over the IPN's MPLS. The IPS switch will not be exposed to the public Internet under any circumstances.
- b) All participants must integrate with:
 - i. The IPS Central Switch via secure APIs
 - ii. The IPN Bank Portal for dispute and query management
 - iii. The back-office portal for reporting and settlement
- c) Participants must undergo mandatory integration and certification as outlined in the FSD.

14.3.2. System Availability and SLAs

- a) All IPS Participants must ensure:

- i. 99.9% system uptime monthly
- ii. Transaction processing times under 5 seconds (end-to-end)
- iii. API response time under 2 seconds (for 95% of transactions)

b) SLAs shall be monitored centrally. Participants failing to meet SLAs for two consecutive months shall be subject to performance reviews and possible sanctions.

14.3.3. Technical Support and Communication

- a) The IPS Operator will provide a 24/7 helpdesk and monthly performance monitoring reports. Participants must appoint a technical single point of contact (SPOC) and maintain an escalation matrix.

14.4. Contingency and Business Continuity Framework

14.4.1. Contingency Scenarios

- a) Participants must have fallback systems for the following events:
 - i. Connectivity or link failure
 - ii. Host system failure
 - iii. Data centre outages
 - iv. Cybersecurity attacks (DDoS, malware)

14.4.2. Business Continuity Plan

- a) Each participant must:
 - i. Maintain secondary infrastructure capable of taking over operations within 15 minutes
 - ii. Participate in annual disaster recovery drills
 - iii. Submit a signed BCP compliance attestation to the IPS Operator annually

14.4.3. Recovery Plans

- a) Participants shall:
 - i. Maintain RTO (Recovery Time Objective) of <30 minutes
 - ii. Maintain RPO (Recovery Point Objective) of zero data loss
 - iii. Submit incident root-cause analysis within 24 hours of critical failures

14.5. Information Security Standards

14.5.1. Data Encryption and Protection

- a) Participants must:
 - i. Encrypt data in transit and at rest using AES-256 or equivalent
 - ii. Ensure customer PII, IPS PINs, and transaction payloads are encrypted

14.5.2. Identity and Account Validation

- a) As per FSD requirements:
 - i. All alias registrations must include ID verification
 - ii. Device binding and alias linkage must follow MNO and SoV validation protocols
 - iii. Debit card (last 6 digits) or ID number (last 6 digits) must be verified against SoV records

14.5.3. Message Integrity and Non-repudiation

- a) Participants must:
 - i. Digitally sign all payloads
 - ii. Maintain message logs for 5 years
 - iii. Implement request traceability and duplicate request handling

14.5.4. Protection of Authentication Credentials

- a) PINs must:
 - i. Be captured using the SDKs provided by the IPS Operator

- ii. Be encrypted with PKI before transmission
- iii. Never be stored in participant systems (only in Common Library SDKs)

15. Branding and Marketing Guidelines

15.1. Objective and Purpose

- 15.1.1.** The purpose of the Branding and Marketing Guidelines is to provide all IPS participants with a unified framework for representing the IPS Scheme to the public. These guidelines aim to:
- a) Build brand awareness across Namibia;
 - b) Increase user trust, credibility, and market visibility;
 - c) Support consistent and effective communication by participants; and
 - d) Promote inclusion and adoption through standardised digital and physical assets.
- 15.1.2.** All participants are required to comply with the guidelines herein when representing, advertising, or communicating about the IPS Scheme. Detailed specifications, templates, and visual assets will be governed by the IPS Brand and Marketing Toolkit, which shall be issued as an Annexure to the Scheme Rules upon finalisation of the IPS branding work.

15.2. Interim Guidance

- 15.2.1.** Until such time as the Toolkit is issued, participants are advised to:
- a) Avoid any independent branding or co-branding of IPS-related services without prior written consent from the IPS Operator;
 - b) Ensure that any references to the IPS in digital or physical channels are factual, neutral, and consistent with the Scheme's objectives and public positioning; and
 - c) Refer to the IPS Operator for clarifications or approvals related to marketing and communications that reference the IPS Scheme.

16. Review and Amendments

16.1. IPS scheme rules will undergo periodic reviews in alignment with regulatory developments and technological advancements. Any amendment will supersede the previous version from its effective date as per Section 17.

16.2. By adhering to these Scheme Rules, IPS participants contribute to a secure, efficient, and inclusive payments ecosystem that supports financial innovation and economic development in Namibia.

16.3. Annexures to The Scheme rules

16.3.1. The following documents are annexed to the Scheme Rules and form an integral part of the Instant Payments Namibia (IPN) Scheme governance and operational framework. These annexures provide further detail, guidance, and technical specifications necessary for effective implementation and compliance by all Scheme Participants.

Annexure	Title	Description
Annexure A	Product Rules	Specifies the parameters, business rules, and service features associated with IPS product offerings.
Annexure B	Operator SLA	Defines the IPS Operator's service commitments to participants, including uptime, incident response times, and performance standards.
Annexure C	Fee Book	Official schedule of applicable Scheme fees, updated annually, and binding on all participants.

Annexure D	Member Restriction Policy	Outline the triggers, procedures, and timelines for restricting Scheme Participants due to risk concerns.
Annexure E	Brand and Marketing Toolkit	This contains approved logos, color codes, templates, and visual guidelines for brand uniformity across Participants.
Annexure F	IPS Compliance Self-Assessment Template	Standard template for participants' bi-annual compliance assessments.

17. Effective date

These Scheme Rules are effective from the date of signature.



 Mr Marsorry Ickua
Chief Operating Officer

21/10/25

 Date